

CEO's Message

2025 was a year defined by execution. Across First Mills, our focus was to deliver on our strategy, strengthen operational performance and scale the business responsibly in line with long-term priorities.

Eng. Abdullah Abdulaziz Ababtain
Chief Executive Officer



Executing with clarity. Scaling with commitment.

I am proud of how the organization translated ambition into measurable progress, while remaining grounded in discipline, quality and accountability. The year reinforced my confidence in our people, our operating model and our ability to create enduring value in a dynamic market environment.

A year of momentum and decisive progress

The defining story of 2025 was momentum built through focus and follow-through. The business delivered sustained growth across all quarters, supported by strong demand, improved capacity utilization and disciplined execution across flour, feed and value-added categories. Our five-year strategy continued to advance ahead of plan, driven by targeted investments, portfolio diversification and expanding customer reach.

A major contributor to this progress was the strengthening of our feed segment. For much of the year, demand for feed products exceeded available capacity - underscoring both the depth of the market and the importance of timely expansion. The acquisition of Al Manar Feed Company materially enhanced our production footprint and enabled faster response to customer demand, while the stake in Al-Kenan Al-Arabia Trading Company strengthened downstream distribution in the feed segment and expanded market access. These actions reflected a deliberate approach to growth, combining strategic expansion with selective inorganic opportunities that reinforce strategic positioning.

Financial performance and value creation

Financial performance in 2025 reflected the underlying strength of the business and the benefits of disciplined execution. Revenues increased by 9.3% to ₪ 1,146.4 million, supported by volume growth, portfolio mix improvement and steady demand across core categories. EBITDA reached 402.2, reflecting improved operating leverage and continued focus on efficiency, while attributable to Shareholders of the Issuer rose to 277.4 million, demonstrating the scalability of the operating model. Earnings per share reached ₪ 4.99, supported by resilient margins and consistent performance throughout the year.

The balance sheet remained strong, enabling continued investment while preserving financial flexibility. Capital expenditure totaled (85.1), directed primarily toward capacity expansion, modernization of facilities and technology upgrades. Liquidity remained solid, supported by prudent working capital management and access to long-term financing. These results provide a stable foundation for continued growth while maintaining the financial discipline expected of a listed company.

Building strength across our brands

Operationally, 2025 marked a step change in performance across all three brands, each playing a distinct role in the Group's growth.

The **First Mills** brand continued to anchor the portfolio, delivering strong volume growth supported by consistent high quality. Operational performance across mills remained robust, with efficiency sustained above targeted thresholds and improved extraction rates supporting both cost control and product consistency. Expanded distribution and deeper partnerships with key customers strengthened the brand's presence across B2B, Traditional Trade, Modern Trade, breeders and Feed Distribution portfolios.

Aloula advanced its position as a value-led growth engine. The brand focused on premium segments and higher-margin categories, refining its channel strategy and strengthening execution in modern trade and feed distribution. Innovation remained central, with progress in ready-mix solutions and several customer portfolios that expand usage occasions and reinforce brand relevance. Aloula's performance demonstrates the importance of differentiation and disciplined portfolio management in driving sustainable value creation.

CEO's Message continued

Naffa'a delivered one of the strongest growth profiles within the Group. Demand for specialized feed products continued to rise, supported by expanded product ranges and manufacturing upgrades. Production lines operated at near-full utilization, reflecting strong market acceptance and effective execution. Investments in quality control, R&D and digital customer tools strengthened Naffa'a's positioning as a solutions-oriented partner for breeders and feed distributors.

Technology and innovation as enablers

Technology and innovation remained critical enablers of performance in 2025. Across operations, digital tools enhanced visibility and efficiency. Advanced analytics supported production planning, quality monitoring and resource optimization, while predictive maintenance capabilities reduced downtime risk and improved asset utilization.

Innovation extended beyond internal processes. The continued use of heat treatment technology for pest control, unique within the Kingdom, supported food safety objectives while reducing reliance on chemical treatments. Progress was also made in renewable energy planning, with a solar power project developed in partnership with TotalEnergies to support future energy efficiency and emissions reduction targets. R&D initiatives across flour, bakery solutions and feed formulations reinforced our ability to respond to evolving customer needs with tailored, high-performance products.

People and culture at the core

Our performance in 2025 was driven first and foremost by our people. Across all functions and locations, teams demonstrated resilience, adaptability and a strong performance mindset. Productivity gains achieved during the year reflected not only process improvements and technology adoption, but also a culture that values accountability, collaboration and continuous improvement.

We continued to invest in talent development, as training programs, leadership engagement and clear performance frameworks supported capability building and succession planning. The organization

continued to attract and retain diverse talent, aligned with national objectives for workforce participation and development. Recognition as a strong employer reflects the environment our teams have built, one that supports safety, inclusion and professional growth.

Looking ahead to the next phase of growth

As we look into 2026, our focus remains on execution and disciplined growth. Key priorities include commissioning new capacity, particularly at the Al-Qassim site, expanding into high-growth product categories and advancing automation and digitalization across operations. Sustainability initiatives will continue to progress, with emphasis on energy efficiency, resource management and responsible production.

We will also continue to evaluate selective investment opportunities that strengthen the portfolio and enhance market access, both within Saudi Arabia and in regional markets. With a diversified platform, strong financial position and proven execution capability, First Mills is well positioned to navigate complexity and capture emerging opportunities.

Acknowledgements

I would like to thank our employees across all locations for their dedication and commitment, our leadership team for their focus and accountability and our Board for its guidance and support. A special thanks to our customers, partners, regulator and suppliers for their continued trust and to our Shareholders for their confidence in our direction.

First Mills enters the next phase of its journey with clarity of purpose, strength in execution and confidence in its ability to deliver sustained value in the years ahead.

Eng. Abdullah Abdulaziz Ababtain

Chief Executive Officer

